

UNION BUDGET 2017: What's In Store For The Indian Electronics Industry

The Union Budget 2017, presented by the NDA government on February 1, 2017, has put forth various initiatives to give a boost to the digital economy. The budget has offered some incentives as well as various tax and duty benefits to the electronics system design and manufacturing (ESDM) industry. Will these go a long way in strengthening the manufacturing capabilities of Indian companies? Here is a collation of key points related to the ESDM industry.

Key tax reforms

Populated PCBs for mobile phones. Populated PCBs for mobile phones are being excluded from the purview of Nil SAD under S. No. 1 of Notification No. 21/2012-Customs (which exempts SAD on items, which are exempt from BCD and CVD).

Simultaneously, two per cent concessional SAD is being prescribed on populated PCBs for use in manufacture of mobile phones, subject to actual user conditions. Concessional SAD will be valid till June 30, 2017.

Micro-ATMs, fingerprint readers/scanners and iris scanners. Basic custom duty (BCD), CVD (by way of excise duty exemption) and, consequently, SAD are being exempted for micro-ATMs as per standards version 1.5.1, fingerprint readers/scanners and iris scanners.

Further, BCD, CVD (by way of excise duty exemption) and, consequently, SAD are also being exempted on parts and components for the manufacture of these devices, subject

to actual user conditions.

Miniaturised POS card readers for mPOS. BCD, CVD (by way of excise duty exemption) and, consequently, SAD are being exempted on miniaturised POS card readers for



Finance minister Arun Jaitley before presenting Union Budget 2017

mPOS (other than mobile phones or tablet computers).

Further, BCD, CVD (by way of excise duty exemption) and, consequently, SAD are also being exempted on parts and components for manufacture of miniaturised POS card readers for mPOS (other than mobile phones or tablet computers), subject to actual user conditions.

LED lights or fixtures including LED lamps. Five per cent concessional BCD is being prescribed on all parts for use in the manufacture of LED lights or fixtures including LED lamps, subject to actual user conditions.

Five per cent concessional BCD is being prescribed on imports of inputs for use in the manufacture of LED drivers or metal-core PCBs for LED lights and fixtures or LED lamps, subject to actual user conditions.

Solar Cells. BCD is being reduced from 7.5 or 10 per cent to five per cent on all items of machinery including, instruments, apparatus and appliances, transmission equipment and auxiliary equipment (including

those required for testing and quality control) and components required for initial setting up of fuel cell based systems for the generation of power or for demonstration purposes, subject to conditions.

BCD has been reduced to nil on solar-tempered glass for use in the manufacture of solar cells/panels/modules. CVD on parts of solar-tempered glass has been reduced to six per cent from previous 12.5 per cent.

CNC systems. Concessional BCD of 2.5 per cent is being extended to ball screws (8483 40 00), linear motion guides (8466 93 90) and CNC systems (8537 10 00) for use in the manufacture of all types of CNC machine tools falling under headings 8456 to 8463, subject to actual user conditions.

Ease of doing business and good governance

- Over 90 per cent of FDI proposals now processed through automatic route
- e-Filing and online FDI processing to ease investments
- FIPB abolished to encourage foreign investments
- Proposal to reduce corporate tax for companies with annual turnover up to ₹ 0.5 billion to 25 per cent
- CBEC to continue to strive to implement GST